annuity account may eventually be annuitized or irreversibly converted into a retirement income stream. When this takes place—just as in the case of the LPIA—no death benefit will be paid. This limitation on the estate goal within the GLiB category leads to a score of 3 for this product category.

The final step in the retirement product GPA matrix is the assignment of a relative score to the products based on the fees they charge and the computation of the final product score. The basic LPIA tends to be the cheapest product option from the perspective of fees and commissions. The GLiB is the highest because of the associated ongoing insurance fee that must be charged for the embedded guarantees. The account owner maintains some control over the fees charged by a SWiP because these vary with the selection of the underlying investments. As a result, its fees and expenses score falls between that of the other two income products.

With scores assigned to each product for each attribute in Figure 10.1, I can proceed with the simple addition of the seven numbers to arrive at an overall product score in the right column. No, it is not a coincidence that the three values are identical. The point here is that the three products are economically equal. Each offers a valuable benefit that is "paid for" via a trade-off in another risk management or goal achievement attribute. That is, one product might hedge against longevity risk but at the expense of an estate or a liquidity goal; another product might offer peace of mind through guarantees but at the price of higher product fees, and so on.

Figure 10.2 graphically illustrates the retirement income problem. How do you split your nest egg across the range of available products? On the one hand, a systematic withdrawal plan (SWiP) provides much liquidity and flexibility but is not necessarily sustainable. In contrast, the immediate annuity or lifetime payout annuity (LPiA) provides 100% sustainability but at the expense of liquidity, bequest, and flexibility. Finally, the variable annuity with the new generation of guaranteed living income benefit (GLiB) provides greater flexibility and sustainability, but is obviously more expensive and has higher fees compared to the other two product classes. So, how do you determine the optimal mix?